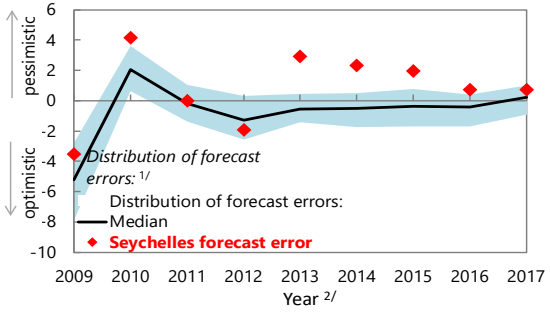
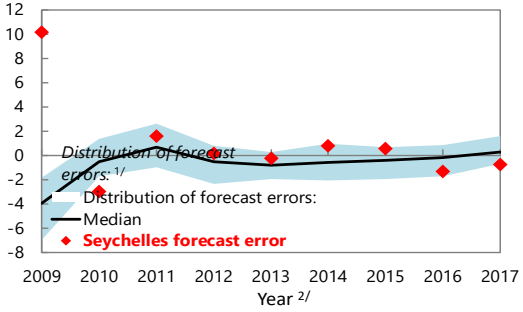
Figure 2. Seychelles: Public Debt Sustainability Analysis – Realism of Baseline Assumptions

Forecast Track Record, versus all countries

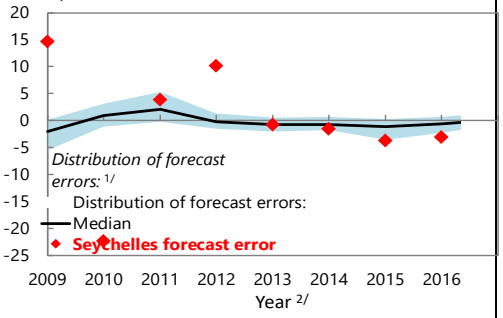
Real GDP Growth
(in percent, actual-projection)
Seychelles median forecast error, 2009-2017: 0.74
Has a percentile rank of: 92%



Primary Balance
(in percent of GDP, actual-projection)
Seychelles median forecast error, 2009-2017: 0.13
Has a percentile rank of: 76%

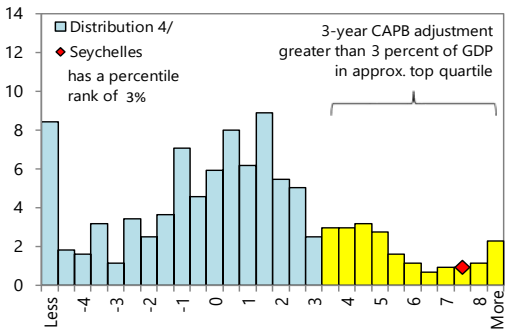


Inflation (Deflator)
(in percent, actual-projection)
Seychelles median forecast error, 2009-2017: -0.
Has a percentile rank of: 3

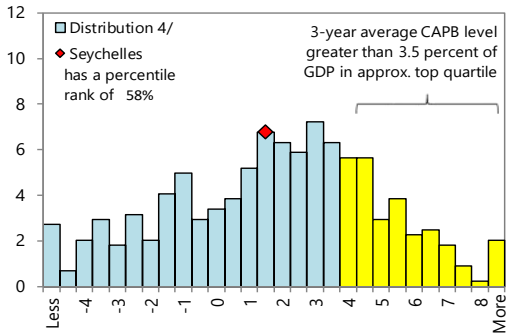


Assessing the Realism of Projected Fiscal Adjustment

3-Year Adjustment in Cyclically-Adjusted Primary Balance (CAPB)
(Percent of GDP)

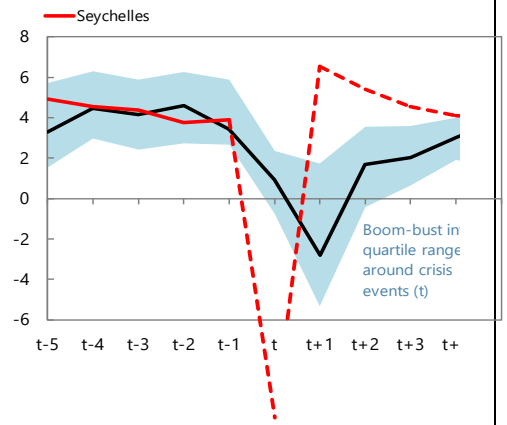


3-Year Average Level of Cyclically-Adjusted Primary Balance (CAPB)
(Percent of GDP)



Boom-Bust Analysis 3/

Real GDP growth
(in percent)



Source : IMF Staff.

[1]Plotted distribution includes all countries, percentile rank refers to all countries.
[2]Projections made in the spring WEO vintage of the preceding year.
[3]Seychelles has had a positive output gap for 3 consecutive years, 2017-2019. For Seychelles, t corresponds to 2020; for the distribution, t corresponds to the first year of the cris
[4]Data cover annual observations from 1990 to 2011 for advanced and emerging economies with debt greater than 60 percent of GDP, Percent of sample on vertical axis.

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Figure 3. Seychelles: Public Sector Debt Sustainability Analysis (DSA) – Baseline Scenario

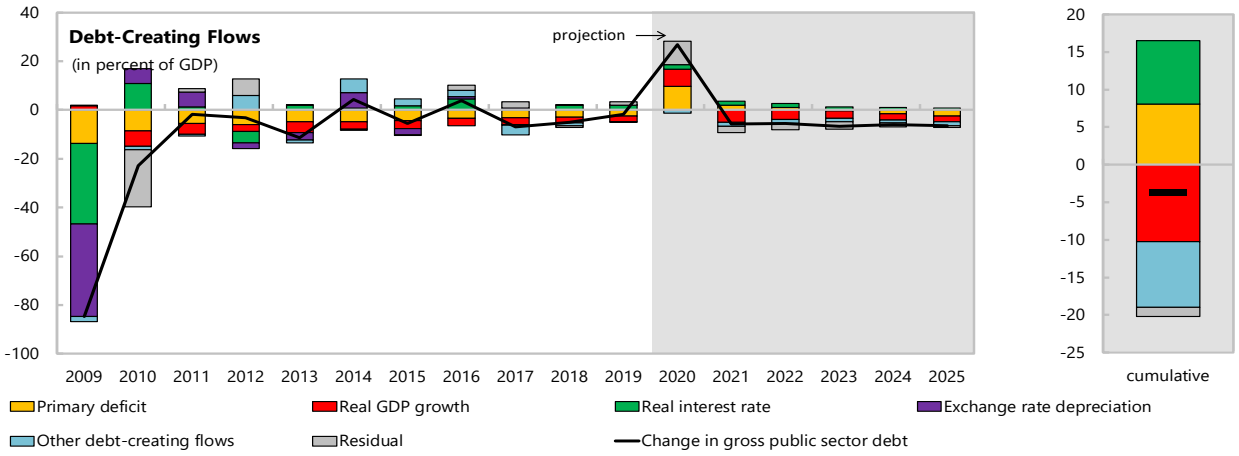
(In percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators[1/]

	Actual			Projections						As of April 20, 2020		
	2009-2017 [2/]	2018	2019	2020	2021	2022	2023	2024	2025			
Nominal gross public debt	79.5	60.9	59.1	85.8	80.0	74.5	67.7	61.8	55.4	Sovereign Spreads		
Of which: guarantees	1.9	3.2	3.8	5.4	4.9	4.5	4.2	3.9	3.7	EMBIG (bp) 3/		1745
Public gross financing needs	24.2	27.9	24.1	39.3	37.5	33.5	28.7	26.0	23.4	5Y CDS (bp)		N/A
Net public debt		51.6	50.5	77.9	74.1	70.2	64.8	60.1	54.5			
Real GDP growth (in percent)	4.3	3.8	3.9	-10.8	6.5	5.4	4.6	4.1	4.0	Ratings	Foreign	Local
Inflation (GDP deflator, in percent)	5.4	2.2	1.2	4.2	3.0	2.8	3.0	3.0	3.0	Moody's	Baa2	Baa2
Nominal GDP growth (in percent)	9.8	6.0	5.1	-7.1	9.8	8.3	7.7	7.2	7.2	S&Ps	BB	BB
Effective interest rate (in percent) [4/]	5.1	5.3	4.4	6.7	5.5	5.2	4.9	4.8	4.6	Fitch	B-	B-

Contribution to Changes in Public Debt

	Actual			Projections							
	2009-2017	2018	2019	2020	2021	2022	2023	2024	2025	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	-14.3	-5.0	-1.8	26.7	-5.7	-5.6	-6.8	-5.9	-6.4	-3.7	
Identified debt-creating flows	-13.1	-4.4	-3.0	17.2	-3.2	-2.9	-3.7	-4.2	-5.6	-2.5	
Primary deficit	-6.1	-2.9	-2.6	9.7	1.8	1.0	-0.3	-1.6	-2.5	8.1	-3.1
Primary (noninterest) revenue and grants	37.4	37.5	36.3	34.9	37.1	34.9	35.5	35.0	34.9	212.2	
Primary (noninterest) expenditure	31.3	34.6	33.7	44.6	38.9	35.9	35.1	33.4	32.4	220.3	
Automatic debt dynamics [5/]	-7.9	-0.1	-0.2	8.8	-3.4	-2.3	-1.9	-1.5	-1.5	-1.8	
Interest rate/growth differential [6/]	-5.0	-0.4	-0.4	8.8	-3.4	-2.3	-1.9	-1.5	-1.5	-1.8	
Of which: real interest rate	-1.9	1.9	1.8	1.9	1.7	1.7	1.2	1.1	0.8	8.4	
Of which: real GDP growth	-3.2	-2.3	-2.3	6.9	-5.1	-4.0	-3.2	-2.6	-2.3	-10.3	
Exchange rate depreciation [7/]	-2.9	0.3	0.2	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.9	-1.4	-0.2	-1.4	-1.7	-1.6	-1.5	-1.0	-1.6	-8.7	
Privatization Proceeds (negative)	-0.7	0.0	0.0	0.0	-0.4	-0.4	-0.4	0.0	-1.0	-2.1	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Domestic debt issuance for monetary p	1.6	-1.4	-0.2	-1.4	-1.3	-1.2	-1.1	-1.0	-0.6	-6.6	
Residual, including asset changes [8/]	-1.2	-0.6	1.2	9.5	-2.5	-2.7	-3.0	-1.8	-0.8	-1.2	



Source: IMF staff.

[1]Public sector is defined as general government and includes public guarantees.

[2]Based on available data.

[3]Long-term bond spread over U.S. bonds.Eurobond (due 2026) yields (1800) over US long-term bond yields (55 basepoints)

[4]Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

[5]Derived as [(r - π(1+g) - g + ae(1+r))/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

[6]The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

[7]The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

[8]Includes changes in the stock of guarantees, asset changes, and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

[9]Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

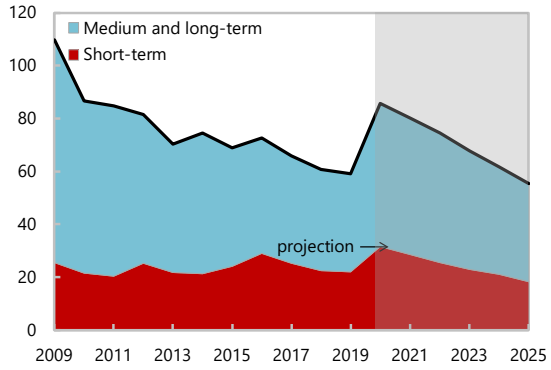
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Figure 4. Seychelles: Public Debt Sustainability Analysis – Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

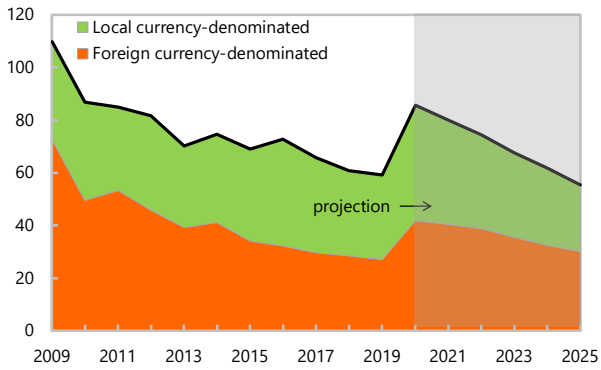
By Maturity

(in percent of GDP)



By Currency

(in percent of GDP)

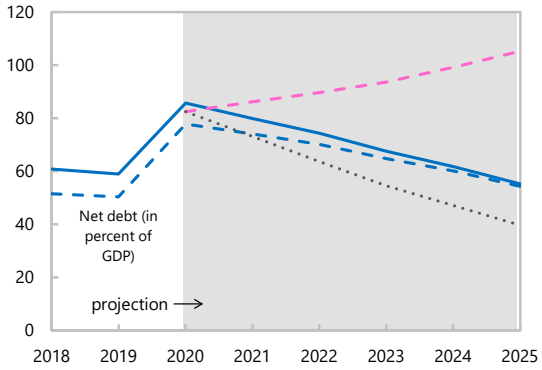


Alternative Scenarios



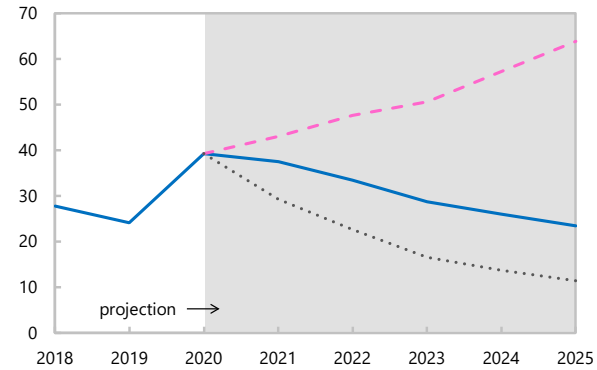
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2020	2021	2022	2023	2024	2025
Real GDP growth	-10.8	6.5	5.4	4.6	4.1	4.0
Inflation	4.2	3.0	2.8	3.0	3.0	3.0
Primary Balance	-9.7	-1.8	-1.0	0.3	1.6	2.5
Effective interest rate	6.7	5.5	5.2	4.9	4.8	4.6
Constant Primary Balance Scenario						
Real GDP growth	-10.8	6.5	5.4	4.6	4.1	4.0
Inflation	4.2	3.0	2.8	3.0	3.0	3.0
Primary Balance	-9.7	-9.7	-9.7	-9.7	-9.7	-9.7
Effective interest rate	6.7	5.5	5.0	4.7	4.5	4.4

Historical Scenario	2020	2021	2022	2023	2024	2025
Real GDP growth	-10.8	4.7	4.7	4.7	4.7	4.7
Inflation	4.2	3.0	2.8	3.0	3.0	3.0
Primary Balance	-9.7	4.6	4.6	4.6	4.6	4.6
Effective interest rate	6.7	5.5	5.5	5.3	5.3	5.0

Source: IMF staff.

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